China’s India policy in the post–Cold War era

With the launch of economic reforms and the four modernisations in the late 1970s, Deng Xiaoping set in motion important shifts in priority in Beijing, with more emphasis on building wealth. After the end of the Cold War, China further modified its grand strategy and foreign policy. Warming ties with Russia in particular, but also with India, meant that China now for the first time in modern history did not face an existential threat on its land borders. As noted by Taylor Fravel, “despite some concerns for the United States as the sole remaining superpower, the main threat to the Chinese state was internal, not external.”[61] So when Deng Xiaoping in 1992, after a couple of years of political upheaval, declared that China would adhere to the path of economic reforms and opening to the outside world,[62] economic modernisation moved to the top of the agenda in Beijing, together with maintaining political stability.

In order to achieve the twin goals of economic modernisation and domestic stability, China’s foreign policy in the 1990s had three main components: foreign economic policy (gain market access and attract foreign investments into China), establish a stable neighbourhood on its periphery that enabled trade and economic growth, and engage with the international community through active participation in the UN system and in international security diplomacy.[63]

With regard to trade and investments, China negotiated for access to Western markets and membership in the World Trade Organisation (WTO) and to attract inward foreign direct investments. Through the 1990s and well into the 2000s, India never played any significant role in this component of China’s foreign policy.[64] In 2005, trade with India still